

FUNDAMENTALS OF COSTING AND PRICING

DAY 1



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1. INTRODUCTION

Today's workshop will cover one of the most important areas for any business – accurately and correctly costing your products & services.

We will look at ways to work out accurately what your product or service **really** costs you to make, grow, produce or provide, as well as some guidelines to follow when trying to determine the correct methods of costing for your product or service.

Specifically, today's workshop will cover:

- Financial Assessment – Do you know and understand what is happening financially in your organisation?
- Useful Costing Terminology – understanding the basic terms
- Determining Material Costs & Calculating Ratings (amount of materials used)
- Determining Direct Labour Costs
- Determining your Overhead Contribution – how to keep the lights on
- Costing Methods for Service-based Businesses – charge the correct rate!
- Costing Method for Agriculture & Farming Businesses – reaping what you sow
- Costing Template – Putting it all together and doing a Costing

WATCH THE COSTS AND THE PROFITS WILL TAKE CARE OF THEMSELVES

Andrew Carnegie

In our experience, costing is one of the most important components of any business.

Consider the following:

1. Without an accurate indication of how much an item costs to produce, or a service costs to provide, it is impossible to know **how much profit** you are making (if any), and thus if your business model is sustainable.
2. Knowing your costs makes **planning, forecasting and cash flow management** far easier.
3. Knowing your costs makes cost **control and cost reduction** easier, as you can identify problems at their source.
4. Knowing your costings means you can identify your most (and least) productive processes, products and services and **make adjustments** accordingly.
5. Accurate costings empower you when it comes to **negotiating with customers** – if you know how much a product or service really costs the business, you will know how much, if at all, you are able to discount in order to secure a deal.
6. In short, costing is the nucleus of any business!



2. FINANCIAL ASSESSMENT

Here are some of the questions you need to ask yourself to make sure you have covered all the financial bases in running your organization:

1. **Do you know what the total of your overheads, or running costs, will be for the next 12 months?**
 - ☐ Yes, and they're itemised in our business plan/financial projections/budget
 - ☐ Not really
 - ☐ I am not sure how to work them out
2. **Do you have an idea of how much you can expect to pay out in direct costs (direct transport, labour & materials) for the next 12 months?**
 - ☐ Yes (or I don't have any direct costs)
 - ☐ No
 - ☐ I am not sure how to work them out
3. **Have you set monthly Sales Targets based on your company's financial needs and do you monitor them?**
 - ☐ Yes
 - ☐ Not really, but I'm not sure I have to because things are ok
 - ☐ I wouldn't know how to establish such targets
4. **Have you made an estimate of your net profit (after expenses) for the next 12 months, and is it enough to sustain the business financially?**
 - ☐ Yes
 - ☐ No, but I have made it this far so I think things are ok
 - ☐ I wouldn't know how to
5. **Are you able to live on the income you make from your business?**
 - ☐ Yes, and I have worked out a 'Survival Budget' for the slower months
 - ☐ No, but we have orders pending so I am confident it will improve
 - ☐ I just take out some cash when I can
 - ☐ No, but my partner/wife/husband is working elsewhere so it is manageable
6. **Have you given any thought to the main risks your business could face financially? Do you have a Plan B for unforeseen eventualities?**
 - ☐ I have carried out a financial SWOT analysis and have planned for all contingencies
 - ☐ I believe we will be fine if we work hard and stick to our strategy
 - ☐ I haven't carried out any type of risk assessment
7. **Are you confident that the prices you sell your product or services at are correct?**
 - ☐ I am not sure, but people keep buying from me so it seems to be working so far
 - ☐ Yes, and I have got a reasonable margin to play with, if necessary
8. **Have you included all the costs involved in the delivery of your product or service in your costing and are you confident you have covered every base?**
 - ☐ No, I am not confident that all my costs are factored in
 - ☐ Yes – I have included every last cent into my costing process
 - ☐ I am not sure how to work this stuff out
9. **Have you calculated your 'Breakeven' point and looked at ways to make your business safer, financially?**
 - ☐ No, I am just going flat out until I make it - or go bust
 - ☐ Yes - and I'm aware of the areas to address in case of problems
 - ☐ I've had enough of this f*%\$# test, let me out!

3. LESSON ONE:

3.1 COSTING TERMINOLOGY

- Cost is a measurement, in monetary terms, of the amount of resources used for the purpose of production of goods or rendering services.
- Cost is the amount of actual or notional expenditure relating to a product, service, process or activity.
- Cost is often used as a generic term to describe various types of costs.
- Costing is the technique and process of ascertaining costs.

Costing is the “science” of ensuring that all inputs to the delivery of a product or service are covered.

Direct costs

All transport, labour and materials **directly used** in the manufacture of your product or the delivery of your service. Generally, if you are not making stock, producing an order or delivering a service, you are not incurring direct costs. These costs tend to vary month to month depending on your volume of work and are sometimes called variable costs.

Overheads

These are the running costs that one incurs whether you are making products, providing services or not – hence they also sometimes being called fixed costs. This includes things such as the cost of labour not directly involved in production or service delivery but needed to run the business (such as administrative staff, sales & marketing staff, cleaners etc), as well as all recurring and ad hoc running costs including electricity, internet, insurance, rent, phones, legal services, stationery, depreciation etc.

Cost of Goods Sold

Cost of goods sold (COGS) are the direct costs attributable to the production of the goods sold by a company. This amount includes the hard costs of the materials and direct labour used to produce the goods or deliver the service, or all the direct costs associated with purchasing stock for resale as in a retail environment. It excludes indirect expenses (overheads). COGS appears on the income statement and can be deducted from revenue to calculate a company’s gross margin (GP).

In manufacturing we call these Cost of Goods Sold, in retail it is usually referred to as “Cost of Sales.” This is essentially the same thing as Direct Costs, except sometimes COGS will include an apportionment for factory overheads, or storage of stock items.

Margins

Profit margin indicates the profitability of a product, service, or business. It’s expressed as a percentage; the higher the number, the more profitable the business.

Gross Profit Margin, or gross margin, is the difference between total sales and the direct cost/cost of sales of those goods. For example: If total sales equals R1,000 and cost of sales equals R300, then the gross margin equals R700 (or 70%).

Net Profit margin refers to the percentage of **revenue** remaining after all costs, depreciation, interest, taxes, and other expenses have been deducted. The formula is: $(\text{Total Sales} - \text{Total Expenses}) / \text{Total Sales} \times 100 = \text{Net Profit Margin}$ as a percentage.

Break-Even Point

A level where the amount of sales attained is met with the same amount of costs, resulting in zero profit or loss. A formula (which is in your addenda) can be used to determine the break-even point for a business.

Depreciation

Depreciation is a concept used for tax and accounting purposes that describes the method a company uses to account for the declining value of its assets. The reasoning? An asset acquired this year is unlikely to be worth as much in five years because it often will have worn down, been depleted, or become obsolete.

Depreciation is an accounting convention that allows a company to write off an asset's value over time, but it is considered a non-cash transaction.

As a benchmark, most general assets are depreciated at a rate of around 20 – 25% per year.

3.2 TYPES OF COSTS

DIRECT (OR VARIABLE) COSTS

- These are costs that are only incurred **if you work on a particular product, job or order**, and include all material costs (including things such as venue hire, accommodation or catering if you provide a service), direct labour and any other materials (eg boxes, packaging, pallets, printouts) required to complete that particular product, job or order.
- You can also include transport as a direct cost, provided it relates specifically to that job or contract eg physical delivery. General transport would be listed as an overhead (see below).
- In some cases, you may find it appropriate and useful to allocate items such as electricity usage as a direct cost, if these are able to be measured accurately and traced to a specific product/project – such as when using a kiln or a commercial oven that can be monitored.

OVERHEADS (FIXED COSTS)

- Overheads/fixed costs are costs which are incurred whether you are producing orders, selling products, providing services or not. They may fluctuate slightly month to month depending on work volumes, but in general these are stable, recurring costs.
- Overheads are frequently left out of the costing process or miscalculated, leading to an incorrect final costing and potential losses as a result. They need to be accounted for.
- Overheads include costs like:
 - Telephone and internet accounts
 - Advertising and promotional costs
 - Electricity and water
 - Rent/bond/rates
 - Accounting and other business services
 - Fixed salaries and wages (marketing, finances, admin & accounts etc)
 - Vehicle and machinery maintenance and depreciation – usually calculated as a percentage of the total value of the item/s
 - Insurance – theft, fire, key man, loss of earnings
 - Consumables (computer software, small hand tools, machinery repairs and renewals)
 - General transport and fuel costs
 - Staff training and development
 - Uniforms & PPE wear
 - Etc

NOTE: Some businesses divide their overheads up into Manufacturing/Factory Overheads and Administrative Overheads. For this workshop, we will combine these two into one figure.

3.3 OVERHEAD ALLOWANCE OR OVERHEAD CONTRIBUTION

Because in most instances it is nearly impossible to apportion exact overhead usage to a specific product or service, a viable option is to use an **Overhead Contribution** to apportion overhead costs. It is called an overhead *contribution* because every product sold or service delivered by your organisation needs to give something back/contribute towards covering the running costs of the business, by being included in the costing calculation process.

So how do we record it?

The most simple and accurate way of recording an overhead contribution, is to express it as a percentage. This percentage is added to your **direct costs** (direct labour & materials) to give you a TOTAL COST to deliver that product or service - per product made, per learner trained, per shipment delivered, per pump serviced, per contract executed etc. The formula looks like this below:

$$\text{Direct Costs (Labour \& Materials) + Fixed Costs (Overhead Contribution as a \%)} \\ = \text{Total Cost of Production/Delivery of Service}$$

How much should you add?

Every business has different overhead and cost structures, so there is no 'one-size-fits-all' answer. In a service-based business, your main costs are usually staff related, so the figure will depend on how large and expensive your team is. In a production environment, a typical overhead figure would range anywhere from 25% to 70%, and in agriculture this could be even higher due to the need to recoup running costs for expensive machinery and equipment, depreciation, maintenance and other general running costs.

The figure is generally slightly less for the services sector, which although quite heavy in terms of staff costs as indicated above, usually has less equipment & machinery costs, less need for a large production or workspace, lower electricity usage etc than a large-scale manufacturer with a big factory or a farmer, for example.

At the end of the day, your overhead contribution % all depends on how high your overheads are that need to be recovered every month/quarter/year.

For the purpose of this workshop, we will use an overhead contribution of 25% - this is a bit lower than average but will serve our purpose as an example in our calculations.

As the formula above shows, this % figure is **added to your direct costs** to get to the **total cost** of the product or service being costed. In this way, every product you sell, or every service you provide, gives back (contributes) a portion towards the running costs of your organisation.

Note: *It is quite straightforward – and very important - to work out **exactly** what the percentage for O/H contribution should be in your specific business – see the formula below:*

Calculating Your Overhead Contribution Percentage

Every business has a different cost recovery strategy, but there is a useful formula you can apply should you wish to work out the exact overhead contribution percentage for your business in its current form:

STEP ONE:

List all **Direct Costs and Overheads** for the year in two separate columns, and then add each of them up to get a total for Direct Costs for the year and Overheads for the year. (Note – this can be done for a Quarter if you do not have all info at hand, but a full year is better if possible).

DIRECT COSTS

Raw Materials
Packaging
Production Labour Costs
Delivery Costs

OVERHEADS

Telephone & Internet
Advertising
Legal
Rent
Electricity and Water
Accounting Services
Fixed Salaries/Wages
Consumables
Depreciation @ 25% etc

STEP TWO:

Divide the Overhead total by the Direct Costs total, and multiply by 100.

Let's assume that the Direct Cost figure is R600 000 and the Overhead column adds up to R450 000 (for example). Simply divide the Overheads by Direct Cost i.e. $450\,000 / 600\,000$ and multiply by 100. In this example you get a figure of 75% and this tells you that you have to add 75% to the **direct cost** of every item to work out the true cost of making it.

For example, let's say you make a product at a Direct Cost of R10.00. You would then add the 75% (R7.50) to this direct cost figure and establish it really cost you R17.50 to make when you take into account your overheads. If you sell it at less than R17.50 you will soon go bust - Everything above R17.50 you sell it for is your profit.

Allocation of Overheads - Remember to correctly allocate overheads to the **right cost centre** – this is especially important for businesses with varied income generating activities.

For example, if you make bricks and also provide training in construction services, when costing either cost centre you should only allocate the **relevant overheads** incurred through the development, production, marketing and selling of that **particular activity** to your costs, not the whole overhead obligations of the entire organisation. Otherwise, you will skew the figures and/or end up subsidizing one or other of the business units without necessarily realising it.

It is important to cost in the correct amount for overheads because:

- Failure to measure and cost in your actual overheads will usually result in your product or service being under-priced
- Not costing in enough for overheads will almost certainly result in minimal profits and potentially cause cash flow issues
- If you know your overheads and direct costs, you can accurately work out exact profits per product, per contract, per harvest or per service delivered. This is very empowering information for an entrepreneur.

To remind you, this leaves us with:

$$\text{Total Cost of Production/Delivery of Service} = \text{Direct Costs (Labour/Materials/Packaging)} + \text{Fixed Costs (Overhead Contribution as a \%)}$$

Example:

	Total Cost
Total Direct Labour Costs	R100
Total Direct Material Costs	R120
Total Direct Costs	R220
Plus Overhead Contribution @ 25%	$R220 \times 25\% = \text{R55}$
Total Cost of Production	R275

In the above example we have costed in R55 to this product to give back towards the running costs of the company.

4. LESSON TWO:

4.1 COSTING METHODOLOGIES AND PROCESSES:

Costing Methodologies

- Different types of companies & sectors use different costing methods. A **job costing method** is used when costs can be traced to a specific job such as building a house, catering for an event, doing an environmental impact assessment (EIA) or designing and printing an annual report. This is the most common method, especially for SMEs.
- But imagine a company mass-producing corn flakes, or facial tissues. Here it would be very difficult to trace exact costs to an individual box of corn flakes or a box of facial tissues. This company would most probably rather use **process costing**, an accounting system that calculates costs involved along a specific production process. This is usually the accepted method for costing mass produced products or large production chains.
- In this workshop, and because it is the more common solution in the SME and SMME space, we will focus primarily on job costing as a methodology. If you want to learn more about **process costing**, you can visit <http://www.accountingtools.com/overview-process-costing>

Costing Processes

- Raw materials are costed by weight, by number (quantity) or a combination of both.
- Sometimes when costing materials, we need to estimate usage for items that are difficult to quantify or measure, such as glue, paint, sewing cotton, certain food ingredients etc... this is essentially an educated guess, and we call this an **allowance**. It will usually be expressed as a Rand figure eg R2.00.
- You need to use excel or a similar programme, or at the very least a physical costing sheet and filing system to record all completed product & service costings for future reference. This will save you having to recost things all the time or do repeat costings for very similar products or services.
- Remember to **update your costs** should your suppliers raise their prices! Also, always try and keep general manufacturing costs as low as possible by minimising wastage. The concept of **circularity**, looks at ways of eliminating waste in your processes.
- Make sure all materials included in your costing are available when you need them. Having to substitute materials can seriously impact costs, delivery deadlines, profit & competitiveness. If this is a potential risk, build it into your quote.

Remember:

- Materials can be costed by weight, by quantity or a combination of both
- We sometimes need to estimate use and this is called an allowance
- Do not offer products or services that utilise materials and elements that may be hard to get in bulk if you receive a large order!

4.2 COSTING DIRECT MATERIAL USAGE - CALCULATING RATINGS

A rating is the quantity of **a particular raw material** that goes into an item. A rating tells us exactly how much wood, or sand, or fabric, or soap or even flour or curry powder we need to make a certain product, and then helps us easily work out what that raw material actually costs us, **per product**.

Ratings are best calculated using a Four Step process:

STEP ONE **Step One** is to decide **how you measure that particular material** that you are costing. Is it easiest to measure it by kilograms, or by the metre, or by litre, or by piece? Always choose the one that reflects *how you buy the material* in question.

STEP TWO **Step Two** is to assign a cost to that unit of measurement eg R50/kg or R100/m. We suggest you **round off** to make things easier – even if you buy 50 kg or 100 metres at a time – rather work out the cost for 1 kg or 1 metre, it is almost always simpler and more efficient from a costing perspective.

STEP THREE **Step Three** is to work out how much of each material you need to make a product. The most important thing, is to know **how many of that product** can be made from that metre of material, or out of that kilogram of flour, or from a square metre of aluminium etc.

This may entail laying out the pattern on a metre of fabric and estimating, or actually making up some samples and recording exact usage. Either way, it is key that you know **how many items** you can make from that 1 kg of flour, or 1 square metre of wood (based on the unit of measurement you chose in Step One).

Once you have worked this out, you can calculate **your rating** as follows:

If the item uses LESS THAN one unit of measurement i.e. less than a metre, kg etc. we apply the following formula:

$$1 \div \text{how many we can produce from that unit of measurement} = \text{our rating}$$

Conversely, if the item you are making uses **MORE THAN** one unit of the material we are measuring, your rating is simply **how much it uses**. It is crucial that you understand when to use the above formula, and when to simply capture how many units of measurement the item uses.

So, if you need 6 buttons to make a shirt, your rating is simply 6. If you need one zip, your rating is 1. If you need 25m of leather to make a lounge suite, your rating for leather is 25 - and so on.

NB: you only ever need to use the above formula if you can make more than one product from a unit of measurement (one metre of fabric, one kg of sand etc). If you cannot, your rating is simply how much (or how many) units of measurement you need to make the product e.g. 20kg of clay – rating is 20; 3m of fabric, rating is 3.

STEP FOUR THE LAST STEP is to work out **actual cost of that particular material** when making the product being costed.

To do this, we simply multiply our rating by the **cost per metre/kg/unit** of the material to get our answer:

Example:

$$\text{Rating} \times \text{Cost of purchase unit (kg/m etc)} = \text{Cost price per component per item}$$

If denim costs us R30/metre, and we know that we can make 4 denim caps from one metre, we would work out our rating for denim PER CAP as follows:

$1 \div (\text{how many we can make from one metre}) (4) = 0.25$. Therefore, our **rating** for denim when making this particular cap is 0.25.

To work out **the cost** of denim per cap, we multiply $0.25 \times \text{R30/m} = \text{R7.50}$

- If you can make 2 large hats from a metre, your rating will be $1 \div 2 = 0.5$.
- If you use 6 buttons, your rating is simply 6
- If you use 200g of flour to make a cake, this means you can make 5 cakes from 1kg so your rating is $1 \div 5 (200\text{g} \times 5 = 1\text{kg}) = 0.2$
- If you use 7kg of sand to make a paving slab, your rating is simply 7
- If you use 30 training manuals per workshop, your rating is simply 30

IMPORTANT: If the item uses MORE THAN our unit of measurement, we simply write down how many units we need, and that is our rating!

*So if we use LESS THAN our unit of measurement to make a product, we apply our formula - **divide 1 by how many we can make** to get our rating; if we use MORE THAN our unit of measurement (1kg, 1m) we **simply write down how many we will use** and that is our rating.*

*You then multiply your rating by the cost per unit of measurement, and that is your material cost for that component, done and dusted. **Easy??***

NOTES:

- When working out ratings, always make it as simple as possible for yourself by:
 - First deciding how you will measure that particular component (by the kg, metre etc)
 - Next, assign a cost to the unit of measurement you have selected, rounding it off to ONE wherever possible eg R30 for one kg
 - Third, establish how many products you can make from that unit of measurement: eg I can make 2 smoothies from one litre of yoghurt, OR I need 3 metres of denim to make one tablecloth
 - If you can make more than one item from a unit of measurement (eg 1kg), you apply the formula to get your rating:
- **$1 \div \text{how many we can produce from that unit of measurement} = \text{our rating}$**
 - If you use more than your unit of measurement, you simply write down how many/much you need, and that is your rating eg If I use 30l of oil to service an hydraulic pump, my rating for oil is 30.

Now you try a few:

MATERIAL COMPONENT AND COST PER UNIT OF MEASUREMENT	HOW MANY OF THE PRODUCT YOU CAN MAKE FROM ONE UNIT OF MEASUREMENT	YOUR RATING	COMPONENT COST PER PRODUCT
E.g. Galvanised wire at R35/kg	6	$1 \div 6 = \mathbf{0.167}$	$0.167 \times R35 = \mathbf{R5.83}$
Flour at R40/kg	20		
Linen at R60/metre	5		
Rose Geranium at R1000/l	500		
Plastic sheeting at R80/sqm	4		
Beads at R20/500g (R40/kg) (hint: first work out what a kg of beads costs – and double how many you can make)	2 (4 from a kg)		

5. LESSON THREE

5.1 DIRECT LABOUR COSTS (DIRECT COST)

When calculating the cost of your Direct Labour for a certain product, contract or job, in other words labour that you must pay for in terms of **time or money** to complete a certain order or deliver a particular service, there are several things to remember:

- You need to know beforehand **how long it will take** to complete a certain product or deliver a certain service (or even a tender or a contract) before you can arrive at an accurate labour costing. This applies whether you pay by the hour, by the job or per contract, and whether you make/deliver the product or service yourself or pay multiple other staff or service providers to do so.
- If you pay your service providers, employees or subcontractors per job, you will still need to have determined an hourly rate that both you and the subcontractor are happy with before production/implementation begins. The actual payment per product or service delivered will usually then be drawn from *how long that product or service reasonably takes to do x the agreed hourly rate*.
- You can pay/allocate different labour rates for different skills, according to their level of difficulty and/or availability or scarcity.

Examples:

If a training workshop takes 4 hours and the agreed hourly rate with the trainer is R250/hr, he will be due $R250 \times 4 = R1000$ upon completion.

If paying a contracted seamstress per item and a garment takes 2 hours to sew from start to finish, and the agreed rate for that type of product or skill is R100/hour, then R200 would be a fair price to pay per completed item. If a highly-skilled producer can make the item in 1.5 hours, they should still be paid R200 – you need to set the rate at an average skill level and not at the highest or lowest...

- In a manufacturing/production set-up it is usually more efficient and cost effective to use different producers for stages of the production process, instead of having one producer make the whole item. The time of each stage will need to be known or at the very least accurately estimated if you are to ensure accurate costings, and also if you need to pay different producers for their particular contribution along the production line.
- In many cases, it is wise to work out a **minute rate** for each producer/employee, especially if a product involves several small steps in the production process. This is how much it costs the company, per minute, for that employee's time. Services, by contrast will usually be costed on an hourly, daily or even weekly basis.

To work out a minute rate, start with the agreed daily wage and then work backwards as follows:

- Agreed Daily Rate = R500

$R500 \div 7\text{hrs} = R71.43$ per hour (avg 8-hour workday with an hour for breaks deducted)

$R71.43 \div 60\text{ minutes} = R1.19\text{c}$ per minute (This is the employee's **minute rate**)

Now you try work out a few:

- An employee earns R350/day. What is his minute rate?
- An employee earns R450/day. What is her minute rate?
- An employee earns R1500/week. What is his minute rate?
- An employee earns R12,000/month. What is her minute rate? (**Note** – there are an average of 22 working days in each month, based on the BCEA)

CALCULATING DIRECT LABOUR RATES FOR SALARIED EMPLOYEES

Direct manufacturing labour costs are the total costs of staff who work directly on goods being manufactured. It is a useful measurement for a small business to use because it allows you to understand exactly how much of your wage bill is going toward employees who actually manufacture your products. Calculate this cost by identifying direct labourers and computing their wages:

1. Determine which workers are considered direct labourers. Direct labourers are workers who directly perform work on the product being produced. For example, in a bakery the person who mixes the dough or bakes the bread is a direct labourer, but the person who sweeps the floors is not...
2. Add up the total hours that all direct labourers work in the period in question (per month, per quarter or per year). If you had four direct labourers who worked 400, 300, 200 and 500 hours, you would add these hours up to get 1,400 hours.
3. Multiply the number of hours worked over the period by their labour rate. This will give you the total direct labour costs. Assuming that your wage rate is R50 per hour, you would multiply it by 1,400 – the number of hours in this example – to get total direct manufacturing costs of R70 000 for the period. You could then calculate this as a percentage of your total wage bill and get a ratio of direct vs indirect labour in your company.

DIRECT LABOUR COSTING – THINGS TO REMEMBER:

- If you manufacture or deal in any goods that need to be packed, you need to remember to cost in any labour you pay for in terms of packing and packaging of products – this is a cost centre that many ignore or forget about.
- Make sure you are familiar with your rights & obligations as an employer, both to protect yourself in case of any problems, and also to ensure your employees are pulling their weight!
- If you make use of subcontractors for all or part of your manufacturing or service provision process, the terms and amounts of payment must be agreed **up front in writing** and quality standards, deadlines, policies in terms of reject products or poor service delivery must be discussed and agreed upon as well. Have a contract or at least an SLA (Service Level Agreement) in place.
- You need to ensure that your organisation makes a profit from the money it spends on labour.
- If you pay people per day or per week, be sure that they stick to the times that have been allowed for production in the costing – this usually entails setting tangible production targets and ensuring that these are followed. You may even want to use incentives to encourage productivity. This also applies to the delivery of a service – if you have allowed for 5hrs to do a certain piece of work or perform a certain function, you need to ensure it is completed within that time frame....
- Costs like weekly or monthly salaries and wages paid to staff members who are not directly involved in physical production or actual delivery of services must be costed as **overheads** and not as direct labour. This includes marketing functions, admin, sales, accounts etc.

6. LESSON FOUR

6.1 COSTING YOUR SERVICE

How do you work out your costs when you have an organization that generates its income by selling time or offering services such as **training, consulting or counselling**?

Probably the most critical thing you need to do when running a service organisation, is to charge your time out at the correct rate. Many organisations find themselves in a situation where they simply are not charging enough per hour or per job, and therefore making no profit.

Hourly Rate or Flat Fee?

Many service businesses tend to charge by the hour, rather than a flat fee (a fee for the entire job as a whole).

A flat fee can be used, however, when you know with some accuracy how long a job will take to do. An example of this might be a hairdresser, who knows through experience how long a haircut or certain treatment takes, a service technician who does a monthly service, or a computer trainer or piano teacher, who have a set rate per lesson.

For many service businesses, though, it can be difficult to work out exactly how long a job will take, hence the usefulness of an hourly rate. But how do you know what hourly rate to charge?

Method for working out an hourly rate in a service-based business

When working out an hourly rate, the first thing to consider is **how many chargeable hours** you (and your staff) can achieve.

Let's imagine you own an environmental consulting business, made up of yourself and two consultants who work for you.

Say, for example, you normally work a 40-hour week. Not all of this time is productive. There will be down time for things such as lunch breaks, morning and afternoon teas, administration work, doing quotes for clients etc.

Also, don't forget that you need to allow time for holidays, sick leave, etc.

So, an example of calculating chargeable hours might be:

Total hours 40 hours x 52 weeks x 3 people = 6240 working hours in the year

Less: Non-chargeable time

Annual holidays – 8 hours x 15 days x 3 = 360

Public holidays – 8 hours x 11 days x 3 = 264

Sick leave – 8 hours x 5 days x 3 = 120

Total = 744

Thus, we are left with the following available hours 5496
 Less: Non-Productive time (assume 25% for tea, breaks, admin etc.) (1374)

Total Chargeable Hours Available = 4122

(If you have staff who have regular training/studying commitments (or you do) this needs to be added to the above non-chargeable time).

Many of you will look at the above and think “No, that’s not right – I won’t have three weeks’ holiday a year – I’ll make do with one week”. Well, that may well happen, but you do have to work on an ideal scenario – IN ANY EVENT, as business owner, you SHOULD take enough leave to keep you energised and motivated for the periods when you are at work!

Once you’ve done this, the next step is to work out the overheads of your organization.

If you’ve just started the business, you will probably find it helpful to talk to people like your Accountant, Bank Manager etc. to get some estimates of annual overhead costs. Below is an example of what your annual overheads might be:

• Salaries & Wages	198,000
• Accountancy Fees	10,000
• Repairs	1,200
• Electricity	12,500
• Vehicle Expenses	24,000
• Printing & Stationery	6,000
• Insurance	12,000
• Advertising	2,000
• Cleaning	10,000
• Legal Fees	2,800
• Rental & Related Expenses	36,000
• Telephone & Internet	20,000
• Interest	900
• Other Costs	<u>12,000</u>
	R347,400

So, your charge out rate to **break even** will be:

Total Overhead Costs divided by Total Chargeable Hours

Which, in our example gives us $R347,700 \div 4122\text{hrs} = \text{R84.35/hour break-even rate}$.

IMPORTANT – If you charge out your time at this figure and manage to ‘sell’ all the available productive hours on hand, you will simply **break even**. You still need to add a percentage **mark-up** to your hourly rate for your profits.

Also, you will still need to charge the client for any materials necessary to deliver the service – whether you add a mark-up to the materials as well is based on industry norms and best practice.

Finally, you might need to calculate different charge out rates for several staff in the company, depending on their actual cost to the business.

NOTES:

- Usually if a service business is unprofitable, it is due to a charge-out rate that is too low.
There can be other reasons too, like too much unproductive/wasted time, not charging for all jobs actually carried out, etc.
- The charge out rate you work out will need to be updated regularly, as overheads change. If you don’t do this, it will eat into the amount of money you make out of your business. For example, if your rent goes up 10%, this needs to be adjusted for and reflected in your rate.
- You also need to adjust if you take on more staff – as this will alter both the chargeable hours available as well as the overheads.

Of course, at the end of the day, you do need to consider what the market will bear i.e. is your hourly charge out similar to other businesses in your industry? And where do you want to position yourself from a pricing perspective? But knowing how to work out your break-even charge out rate will help you make informed decisions on these, and other issues related to a service-based offering, in which time is the commodity on offer.

6.2 COSTING IN THE AGRICULTURE SECTOR

Costing in Agriculture follows similar rules to any other sector, but it does come with a couple of differences, which makes it an interesting case study. Below we discuss four main ones:

1. Length of the production cycle can extend across many months, or even years
2. Relationship between inputs and outputs is not fixed, and is influenced by factors out of the farmer’s control (eg temperature, day length, rainfall)
3. High capital investment costs for land and equipment require repayment over an extended period
4. Fixed pricing and market monopolies limit pricing options for certain produce.

1. **Lengthy Production Cycles.** Certain crops, for example Macadamia nuts, cattle and oranges only begin bearing fruit many months and even years into the cycle. The longer the gap between the cost of starting the farm (planting the trees or buying the cows) the greater the need for capital to cover cashflow deficit. Careful planning and budgeting is needed to ensure the farm doesn't run out of money before the harvest happens and income starts to flow into the business.
2. **Variable Input: output relationship.** Unlike simple manufacturing costing where one bracelet always uses 5 beads, the outputs in farming (e.g. chicken weight, time to harvest and yield) are determined not only by the inputs (fertiliser, seeds, water, food) but by other factors out of the farmer's control. This is one of the reasons why farming is such a tricky industry to be in, and the reason why farmers invest in irrigation, lighting and greenhouses – to try and control these other variables. The lack of a fixed input: output relationship also means that whilst costing can be forecast using a historical budget (ie. what results you got in the past) it also needs to be costed on a real-time basis - to check your actual results and price each time and with every harvest.
3. **High Capital Cost.** Farming is notorious for its high capital cost – especially if you need to purchase land at commercial prices. In addition, the cost of buildings, irrigation equipment and tractors adds a huge price to the production cost. It is important that these are included in the costing models – but divided over a realistic period. Land for example is usually repaid over 25 years, tractors and buildings over 10 years and other equipment over a shorter period. Even if your land and equipment has been paid for already, your costing must build in the price of replacing this equipment, or you will have no funds to replace the buildings and machinery when they become old.
4. **Fixed pricing** in agriculture is a challenge that often requires the farmer to reduce their cost of production in order to make a profit. The dairy industry is notorious for this worldwide, with the market price for milk fixed below breakeven in many first world countries – requiring farmers to exist on subsidies. Locally this impacts the small farmer who is dictated to by the market, which is much bigger and stronger than he/she is. Strategies for better pricing include producing 'out of season' when fewer people are selling and prices are higher, doing value-adds such as packaging and processing, and producing special, quality or unusual products – for example black tomatoes, green cauliflower and red runner beans.

6.3 COSTING BASICS – SEASONAL FINANCE: INTEREST

Most commercial farmers have to present a production budget to the bank every year with a request for seasonal finance. This budget includes an estimate of the inputs (seed, fertiliser, electricity etc) and the projected yield and price showing income.

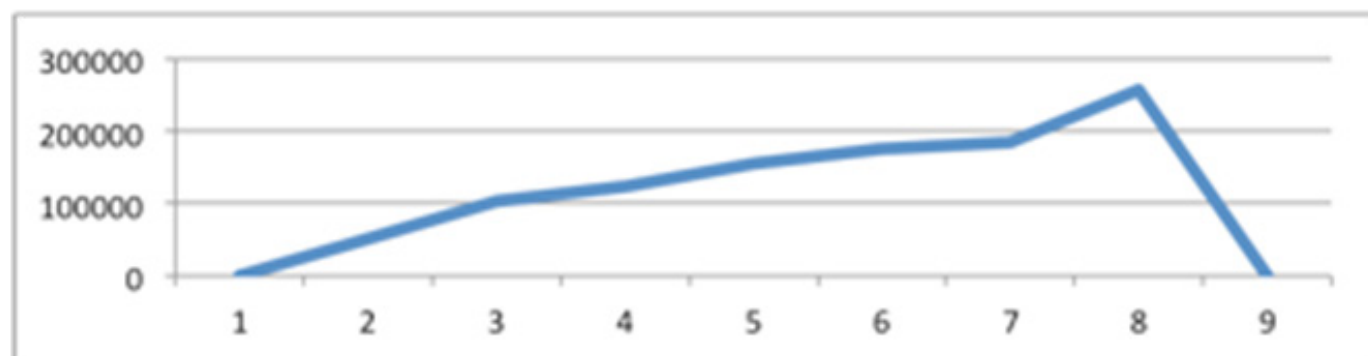
The bank manager needs to be convinced that the farmer is a 'good risk' and there is a good chance that he will repay the loan once the harvest has been made.

Seasonal finance will be given to the farmer to purchase the inputs, pay labour, pay electricity and all other costs for the entire growing season, and interest is calculated on the total overdraft on a monthly basis.

These interest costs need to be included in your costing, to ensure that you make a profit at the end. Challenges arise when a crop sale is delayed or when yields and/or prices are lower than expected, as bank managers generally just want their money on time!

Sample: Simple Budget forecast for field crop – 9 month growing cycle

Month	1	2	3	4	5	6	7	8	9
Activity	plough	Plant	harrow					Harvest	Sell
Activity		Irrigate	Irrigate	Irrigate	Irrigate	Irrigate			
Activity		Weed killer	pesticide		pesticide				
Overdraft	0	R50,000	R100,000	R120,000	R150,000	R170,000	R180,000	R250,000	R0
Interest	0	R833	R1,667	R2,000	R2,500	R2,833	R3,000	R4,167	R17,000
Total	0	R50,833	R102,500	R123,667	R154,500	R175,333	R185,833	R257,167	R0



6.4 COSTING BASICS: CALCULATING THE PRICE OF ONE BROILER CHICKEN

Many farmers are really great at recording their total expenses, but struggle to work out how much one cabbage, one chicken or a kilogram of beans actually costs to produce.

The fundamentals are exactly the same as all costing models – namely that one must understand how to calculate the rating (how much is used in the production) and price per single unit (kg, litre) of input.

In broiler production, if we know how much feed etc goes into the chicken house, and we know how many chickens are in the house, it is possible to work out the cost per chicken quite easily.

Let's look at an example:

Mr Ndlovo has 5 chicken houses on his farm, each housing 3000 chickens and taking an average 6 weeks to grow, plus a 2 week cleaning period – making an 8 week (2 month) production cycle in all.

His assumptions are

ASSUMPTIONS	
Day Old Chicks	
6 weeks from day-old to sale (8 week cycle)	
Mortality rate	10%
Quantity of chicks per house	3000
Number of houses on the farm	5
Lifetime of chicken house (years)	7

1. Variable costs

Mr Ndlovu's direct (also called variable or operating costs) costs include feed, medicine and labour, which can be added up to get a total cost of R67,640 per house of 3000 chickens, as shown below:

	Qty	Price per unit		Total per house	Comment
Direct Costs (per house)					
Day old Chicks	3000	6.55	Each	19,650	Chicks per house
Starter Mash	30	275.00	Bags	8,250	per 3000 chicks for 2 weeks
Grower Feed	60	264.00	Bags	15,840	per 3000 chicks for 2 weeks
Finisher Feed	70	265.00	Bags	18,550	per 3000 chicks for 2 weeks
Shavings	100	16.00	Bags	1600	allowance per house
Medication (Vaccine)	1	250.00	House	250.00	allowance per house
Labour	2	1500.00	Labourer	3,000.00	2 individuals
Casual labour	1	500.00	Labourer	500.00	Allowance
Total Direct/ Operating Costs	R 67,640				Per chicken house per 8-week cycle

2. Overhead or Fixed costs

We now need to work out what the overhead costs are, by adding the expenses per month for the farm as a total. To work out the farm overheads, simply add the monthly costs (phone, travel, insurance etc). In this example the total overheads for the farm, per month are R23,300.

Overheads (per Farm) per month		
Electricity	3600	heaters, lighting per month
Cellphone	1200	Per farm per month
Travel/fuel	3500	Per farm per month
Director/s salary	12000	Per farm per month
Repairs	500	Per farm per month
Rates & taxes	750	Per farm per month
banking & bookkeeper	250	Per month
Insurance	1500	Per farm per month
Total Farm Overheads per month	23,300	per month

To get the cost for **one house** we divide this total by 5 (the number of houses) ($23,300 / 5 = \text{R } 4660$)

3. Capital Replacement costs

If the farmer already owns the land and buildings, his capital costs only include the cost of replacing the houses and equipment at the end of their useful lifetime (estimated at 7 years). [nb, if he were still paying off a loan the calculation includes interest and capital repayments. Find this example in the extra notes]

We calculate how much he must put aside (save) each month to ensure there are funds to replace the old buildings and equipment - by dividing the total capital cost over 7 years.

Capital cost	Notes		
Building & fittings	151791		3000 birds 30 x 7 m excludes concrete floor
Extras	1500		Allowance for Power and electrical boxes and installation
Sundry 5%	7664.55		Other
Total capital cost	R 160,956		Per chicken house
Depreciation/month	R1,916	7 Years	monthly over 7 years

This replacement cost (also called **depreciation** in the accounts) is included as part of the overheads, to ensure that all the costs of production is accounted for. Note: this money should be saved as cash reserves so that you can replace things as they fall apart!

By adding the monthly depreciation/replacement cost of R1916 to the overhead costs we get a total monthly overhead cost per house **per month** (R4660+ R1916 = R6576)

4. Overheads per chicken house, per cycle

We know that each batch of chickens takes 8 weeks or two months – so to calculate the total overheads per batch of 3000 chickens we multiply the total monthly overhead by 2 to get R13,152. (R6576 X 2 = R13,152)

Total Farm Overheads per month	23,300		per month
Monthly Overheads per house	4,660	5 Houses	Per month per house
Depreciation/ replacement cost per house	1,916	1 per house	Per month per house*
Overheads + depreciation per house	6,576		
Total Overheads per cycle (2 months)	R 13,152		per (8 weeks) two months

5. Total direct costs plus overhead cost per chicken

- To work out the Total Cost, we add the Direct and Overhead costs for the house (R67,640 + 13152 = R80,792)
- To calculate cost per chicken we divide our Total Cost by the number of chickens sold (2700). * Remember to factor in the mortality rate (losses) – in this case we started with 3000 chicks and estimated a 10% loss rate (3000 - 300 = 2700)

The total cost per chicken is therefore total costs divided by number sold = (R80,792/2700 = R30)

This gives us a cost per chicken, factoring in all our costs (direct, overhead etc) of R30 each

Total costs (Direct + Overheads)	R 80,792		Per chicken house per 8-week cycle
Chickens sold	2,700	A	10% mortality (1000 - 100)
Cost per chicken	R 29.92	B	

6. Profit margin

Knowing that we sell our chickens at R40 each, we can work out our profit per chicken (R40 minus R29.92 = R10.08 profit), and our total income per chicken house (R10.08 x 2700 = R27,207).

Revenue/Income			
Selling Price per Chicken	R40	C	
Profit per chicken (C-B+D)	R10.08	D	
Profit Per house (D x A=E)	R27,207.73	E	

An interactive excel sheet is included in your training pack for you to use for your own business.

7. GROUP COSTING TASKS

7.1 GROUP COSTING TASK ONE

You are costing an embroidered cushion cover which you will be supplying to Mr Price Home. The materials and processes to make it are as follows:

Materials:

- Hessian – R75/metre. You can make 4 cushion covers with a meter.
- Buttons @ R1.80 each. You need 6 buttons per cushion.
- Embroidery thread at R1.50c per metre. Each cushion takes 7 metres.
- Stuffing at R25/kg. You can stuff 8 cushions with a kg.
- Label at R0.50c – you need one per cushion.

Labour:

- You pay a cutter R250/day. She takes ten minutes per cushion. What does she cost the company per cushion based on a 7hr working day? (Hint: work out the minute rate first!)
- You pay a seamstress R350/day. She can sew 10 cushions per hour. What does she cost the company per cushion?
- You pay a hand worker R200/day. She can embroider 2 cushions per hour. What does she cost the company per cushion?

Cost the cushion using the costing template provided, remember to fill in all costs.

Hints:

- Start by capturing your unit of measurement (m, kg, litre, piece, minutes etc), followed by the cost for that unit of measurement e.g. R30/kg.
- Next, work out the rating for materials. Remember, if you can make MORE THAN ONE item from your unit of measurement., you use the formula **1 divided by How Many You Can Make** = your rating. If you use more than one of a component to make the product being costed, your rating is simply how many you need e.g. 10 steel bars, 5kg sand, 2 zips etc
- You then multiply your rating, by the price per unit of measurement (e.g. $0.2 \times R30$) and that is your cost for that component/material per product.
- For labour, work out your minute rate first, then how many minutes are needed for that task, and simply multiply the two to get your cost of labour per process for that product.

GOOD LUCK

Date:

Product:

Code:

Component	Description	Unit of Measurement	Cost per unit (kg/l etc)	Rating	Total Cost
Material 1					
Material 2					
Material 3					
Material 4					
Material 5					
Material 6					
Total Materials					
Labour 1					
Labour 2					
Labour 3					
Labour 4					
Total Labour					
Packaging 1					
Packaging 2					
Total Packaging					
Total Manufacturing Costs					
Plus Overhead Contribution			25%		
Total Cost Price					

7.2 GROUP COSTING TASK TWO

You are costing an HR training workshop. Work out your costs for **ten learners** to attend the training. The materials and processes to deliver it are as follows:

Materials:

- A workshop booklet costs R90 to print – you need one per learner
- Refreshments cost R120 per learner for the workshop
- Venue hire works out to R120 per learner for the workshop
- A data projector costs R250 for the workshop

Labour:

- You pay a trainer R1000/day for a typical 7hr working day. The workshop runs for 4 hours – what is the cost for the trainer per workshop?
- You pay a training assistant R500/day – what is the cost for the assistant per workshop?

Cost a workshop for ten learners, using the costing template provided.

Hints:

Start by capturing your unit of measurement (m, kg, litre, piece, minutes etc), followed by the cost for that unit of measurement eg R30/kg.

- Next, work out the rating for materials. Remember, if you can make MORE THAN ONE item from your unit of measurement, you use the formula $1 \text{ divided by How Many You Can Make} = \text{your rating}$. If you use one or more than one of a component to make the product being costed, your rating is simply how many you need eg 1 cabbage, 10 steel bars, 5kg sand, 2 zips etc
- You then multiply your rating, by the price per unit of measurement (eg $0.2 \times R30$) and that is your cost for that component/material per product.
- For labour, work out your minute or hourly rate first, then how many minutes are needed for that task, and simply multiply the two to get your cost of labour per process for that product.

GOOD LUCK

Date:

Product:

Code:

Component	Description	Unit of Measurement	Cost per unit (kg/l etc)	Rating	Total Cost
Material 1					
Material 2					
Material 3					
Material 4					
Material 5					
Material 6					
Total Materials					
Labour 1					
Labour 2					
Labour 3					
Labour 4					
Total Labour					
Packaging 1					
Packaging 2					
Total Packaging					
Total Manufacturing Costs					
Plus Overhead Contribution			25%		
Total Cost Price					

Extra costing sheet

Date:

Product:

Code:

Component	Description	Unit of Measurement	Cost per unit (kg/l etc)	Rating	Total Cost
Material 1					
Material 2					
Material 3					
Material 4					
Material 5					
Material 6					
Total Materials					
Labour 1					
Labour 2					
Labour 3					
Labour 4					
Total Labour					
Packaging 1					
Packaging 2					
Total Packaging					
Total Manufacturing Costs					
Plus Overhead Contribution			25%		
Total Cost Price					

8. CONCLUSION

In this workshop we have looked at:

- Financial Assessment
- Costings Terminology
- Determining Material Costs & Calculating Ratings
- Direct Labour Costs
- Costing Your Service
- Agricultural Costings
- Costing Sheets

Tomorrow we will look at pricing strategies and the necessary sales tools you need to grow your sales and boost your business to the next level!

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PRICING STRATEGIES AND SALES TOOLS

DAY 2



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1. LESSON ONE:

1.1 THE RIGHT TOOLS FOR THE JOB

A primary secret to success in business, no matter what your industry, product or service might be, is to ***make it as easy as possible for your customers to do business with you***. The easier and more enjoyable it is for them to buy from or support you, the more they will!

This sounds like an obvious statement, but it is surprising how many companies make it difficult for our customers. We are hard to get hold of, we have little or no online presence, we do not communicate efficiently, our pricing structure is confusing, or we do not have the necessary sales tools available to make things clear.

- *A clear, concise and consistent pricing structure – that accommodates all your potential customers - and clear sales terms & conditions, are absolute fundamentals in ANY business. They are an indication to the potential customer that yours is a professional, organized and competent company, one that they can confidently do business with.*
- *The same applies to your sales tools such as pricelists, catalogues and company profiles. They need to be professional and easy to understand, with all the info a potential client needs to make a buying decision.*

Today we will delve into the tricky subject of pricing – we will look at pricing methodologies, pricing levels, pricing strategies and developing effective price lists – including sales terms and conditions and other relevant information. We will cover this information from several angles, and address specifics for both product and service-based businesses.

Remember that the mark-ups, tools and templates shared here are examples only – every business and every sector is different, and so the challenge for you is to adapt this information to the needs of your own organisation.

Also remember that even if you offer a service, building something tangible, professional and compelling to share with your client relating to pricing will put you ahead of the pack.

Have fun!

2. LESSON TWO:

Factors that affect price

- Company goals
- Expenses
- Customer response
- Competition
- Economic conditions

Let's start our pricing journey with a little fun quiz. Match the pricing strategy with the correct definition:

Pricing Strategy	Definition
A - Prestige Pricing	Difference between the retail price and the actual cost of an item. _____
B - Odd-even Pricing	Pricing products by calculating all costs and expenses and adding your desired profit. _____
C - Price lining	Selling several items as a package for a set price. _____
D - Bundle Pricing	Pricing an item at cost or below cost to draw customers into the store. _____
E - Predatory Pricing	Selling all goods in a product line at specific price points. Three cars of the same brand of varying qualities sold at three different price points. _____
F - Yield Management	An illegal practice where competitors conspire to set the same prices. _____
G - Loss-leader Pricing	Pricing items at different prices to maximize revenue when limited capacity is involved. Eg. Some seats are priced higher than others due to their location or the time they are purchased. ____
H - Cost-plus pricing	Pricing goods according to what the customer is willing to pay. Estimating what a spectator will pay for a ticket and calculating what forms of entertainment you can offer the customer at that price point. _____
I - Markup	Pricing goods with either an odd number or even number to match a product's image. Odd priced items (R25.99) reflect a bargain. Expensive items are often priced with even numbers (R100) _____
J - Target Pricing	Pricing based on wanting to create a certain perception. Very expensive sports watches, equipment and apparel will be priced above the average market price to attract consumers who may judge a product's quality by its price. _____
K - Price Fixing	Setting a very low price in order to drive competition out of business. _____
L - Skimming pricing	Setting a low initial price on a new product to appeal immediately to the mass market. _____
M- Penetration Pricing	Setting the highest initial price that customers really desiring the product are willing to pay. _____

2.1 PRICING METHODOLOGIES AND STRATEGIES

Pricing does not exist in a vacuum. Pricing strategies reflect not only what it took for you to bring a product to market (hard costs), but also what your target customers think it is worth (brand value), and what your competitors are charging for similar products or services. For this reason, unlike costing, pricing is **not an exact science**. You need to do your research and then use all the information at your disposal to make an informed decision when calculating your prices.

Remember, the 'Right' Price is the one that people are prepared to pay, and that also delivers you the necessary profit you require.

Below we will look at some accepted strategies, tools and methods to help guide you to the Right Price for your products and services. Let's start on our journey...

2.1.1 Cost Plus

Cost plus pricing is the simplest method one can use for determining prices, and is the most commonly applied. In this method, you simply take the cost of the product and add a mark-up to create a selling price. You can do this by using a fixed percentage (+100%, +200%) or a fixed markup (+R50, +R100), with a percentage mark-up being the most common.

The advantage of this method is that it is simple, and you can calculate your expected profit level very easily. You can work out exactly what you stand to make per product, per workshop, per contract, for an entire harvest etc, and can thus make accurate profit projections - as long as your sales targets are met.

The disadvantage is that it often may be less, or more, than customers are willing to pay, and if one is too rigid in employing this method some opportunities will be lost, either because you price yourself out of the market, or because you miss an opportunity to maximize your profit.

Below is a simple example of cost-plus pricing:

Cost of materials	R50.00
+ Cost of labour	R30.00
+ Overhead @ 50%	R40.00
= Total cost	R120.00
+ Desired profit (50% on costs)	R60.00
= Final selling price	R180.00

2.1.2 MARKET PRICING

The next milestone along your journey of arriving at the Right Price, involves understanding how your chosen sector and the customers that make it up relate to price. What does your experience or research tell you about your **target market and their buying impulses?**

If a 'cheap' price is the most important thing to them, then you may even have to sell for less than your cost-plus pricing is telling you or look at ways of simplifying the product/service to bring costs down so that you can offer a lower price.

However, if a bargain price is not a major priority to your target market, then you will be throwing away money by selling at low or discounted rates. In fact, you may even put customers off – when products are perceived as being ‘too cheap’, especially at the upper end of the market, this can be a turn off; people may think there is something wrong with the item, it is poorly made, has little value, nobody wants to buy it etc.

This perception also holds true for organizations that offer services – if you are asking a potential customer to support your consulting business and are offering sessions at R75 each, he or she may well question the quality of the offering being provided...similarly, imagine a legal firm that charges out its services at R50/hour – you would probably rather pay ten times that to avoid going to jail!

Remember that price itself is often a measure of value – we automatically value a Mercedes Benz more than a Tazz because it is expensive, not only because it has more features.

When using your analysis of the Market as a guide to set prices, you need to consider the following:

- Is your product/service just one of many or is it unique, or very rare? Many luxury brands for example, maintain high pricing levels by limiting the availability of a particular product.
- What type/demographic of customer are you targeting? (tourists, students, local residents, government, corporates, resellers etc.)? How do they generally respond to price?
- What segment of the market are you wanting to be positioned in (Premium, Luxury, Middle-Income, Cut-price)? Is your offering properly positioned to penetrate that market? This speaks to branding, packaging, service levels etc.

By looking at this information and answering the above questions, you should be able to determine a guide price bracket for your service or product that the market is willing to pay.

When you combine this with the other information at your disposal (cost plus figures, competitor pricing, supply & demand), you will be able to arrive at the most appropriate price – BUT remember, unlike costing, pricing is STILL not an exact science...At the end of the day, the right price is the one the customer is prepared to pay, that still allows you to make sufficient profit.

2.1.3 COMPETITOR PRICING

Once you have an idea of your costs and a target mark-up figure from a cost-plus perspective and have done your market research in terms of how your customers relate to price, the next step is to determine competitor pricing and how this influences what you can charge. As the name implies, this involves researching how much the competition is charging for similar products or services in your industry. In order to do this, you may have to telephone them for quotes, do research online or ask a colleague or member of your family to pose as a buyer to obtain a quote....

The information you gather on what others are charging will **give you a benchmark** to compare against. When combined with the results of your market research, you should be empowered to make an informed decision as to what you are able to charge.

It is generally unwise to price your product much **higher or lower** than the competition without a good reason – too high and you may lose customers (as you price yourself out of the market), too low and you are giving away profit and also suggesting that your offering is inferior...There are some exceptions, such as penetration pricing, but the general rule stands.

Remember that getting into price-cutting wars with competitors is a sure way to get burnt – if the competitor is bigger and more established than you, they will be able to bully you out of the market, and if you are equal in size you will both simply lose profits. Nobody wins.

Should you wish to charge more than your competitors, be ready to make a case for your higher price, such as providing a superior customer experience, a more comprehensive warranty policy, an obviously higher quality product, or a more powerful and compelling brand promise.

Remember when comparing your offering against the competition, consider the following:

- Is their product/service the same as, or more convenient to access than yours? Is it in more outlets and easier to find? Do they have national reach perhaps?
- Do they offer anything extra that you do not at this stage? (eg after-sales service, warranty, guarantees, free delivery, accreditation standards etc)
- Is their branding/packaging/merchandising/marketing/brand awareness better than yours? What about their online presence and social media?

In other words, you need to really (really!) compare apples with apples when doing your Competitor Pricing analysis and comparing your price with theirs!

2.1.4 SUPPLY AND DEMAND

Just before you set your final prices, it is always important to remember that one of the major drivers of price is supply and demand. Simply put, the less supply (or product available for sale) and more demand (or buyers wishing to purchase) for a particular product, the higher the price people are prepared to pay for it.

Look at the price of citrus fruit – in season there are plenty of oranges and the price is low. Out of season there is a shortage and the price increases, sometimes as much as threefold or even more. It is the same with most products. If too many people in an area are selling bottled water, or offering computer training, or making school uniforms, customers will demand lower prices and sellers will ultimately have to 'discount' to make a sale.

If this is a challenge you face, your job is to develop products & services that are **original, unique and different** to what everyone else is selling – innovate, don't replicate! A second strategy is to add value without necessarily adding to the selling price – what can you offer that the competition is not? Free delivery perhaps? Or a warranty? Perhaps some kind of a loyalty programme? Thirdly, you always need to concentrate on building a powerful brand, because the value that people attach to your brand will translate **directly** into a better selling price and a more loyal customer base.

A focus on innovation and value-add will help ensure that you are able to command a fair price for your products, while a focus on brand building will help you get a great price. This applies whether you are in the farming sector, consulting, services – what can you do differently, and how can you add value to your customer?

Remember that the concept of demand will also impact your selling price to a channel partner (retailer or wholesaler/distributor), in the form of a quantity discount - the greater the volume of orders they offer (Demand), the lower the price that those customers will expect to pay.

2.1.5 PSYCHOLOGICAL PRICE POINTS

Do you think setting prices like R99 or R499 is cheesy and pointless? Think again. If you have a product or service that should be sold at R100 (or even R110), you have two options. Either drop it below R100, and you'll see sales pick up. Or, if you don't want it that cheap, raise it up to R125. In general, R125 and R110 feel about the same to people, so you'll sell the same amount and make R15 extra profit each time.

Remember, you're not exempt if you're selling a service. If you're a consultant, people will perceive your services as significantly more affordable at R385/hour, than at R400. If you're a web developer, people are more likely to hire you if you quote R14,700 for a job instead of R15,000. We are not 100% certain why this is the case, it is just the way the human brain works....

Interestingly, the one area where this strategy does not seem to hold sway is at the premium/luxury goods level. Research shows that at this level customers respond more to rounded-off prices such as R1000 or R5000...

2.1.6 BE WISE ABOUT RAISING YOUR PRICES

It's a fact of life that you will have to raise prices from time to time. If you never raise your prices, you won't stay in business for long. You have to constantly monitor your prices and your costs so that you are competitive in the market, and that you make the kind of money you need to make.

That said, there are risks to raising prices, particularly when your customers themselves are going through tough financial times. Recent food and petrol hikes have everyone twitchy about everything going up, so take into account the following when you have to raise your prices:

Some Tips around Raising Prices:

- **Do raise prices when your competitors are raising prices.** If the competition has upped the ante, that is a good signal that the market can and will support a price increase for your services, too.
- **Do raise prices if your customers say you're a bargain.** If your customers keep commenting about what a great value your prices are, that may be an indication you're charging too little...
- **Do raise prices if you introduce a new product or service.** But only if you need to, not just for the sake of it.
- **Don't raise prices too much all at once.** In a tough economy, a big jump in prices might be too much of a jolt for your customers. Instead, raise prices in small increments of two or three price increases over the course of a year.
- **Don't raise prices across the board.** Customers may not notice price increases if they are only for certain products or services and not for others.

A new strategy that a lot of retailers are pursuing is Bundling, whereby they offer a better price if you buy three of an item as an example. This is a strategy that can sometimes offset rising costs by driving volumes.

3. LESSON THREE:

3.1 PRICING LEVELS EXPLAINED

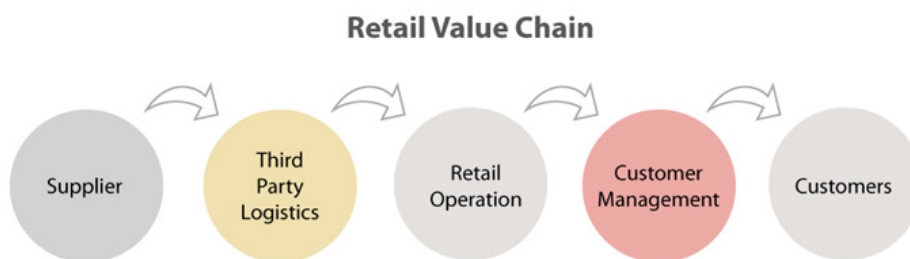
We have spoken about pricing methodologies and the various information you need to consider when determining your selling price. However, it is very seldom that you will sell to one type of customer only, so you will need to set different **levels of pricing** to service the different customer types you may engage with.

Can you think of a few of the different types of customers you may encounter, and how their needs may differ from each other?

Remember, a key secret to being successful in sales is to make it as easy as possible for your client to do business with you – and this starts with having a clear pricing strategy. As your business grows into new markets this can become quite complicated, and so a clear understanding of some basics is essential if you are to be a confident and successful salesperson.

If you sell via different channels, you need to ensure you have the necessary pricing in place to service all of them. These channels could include one or more of the following:

- Distributor pricing
- Wholesale pricing
- Retail pricing
- Corporate/Custom pricing
- Agent pricing



We are going to look at these various levels, explain how they differ and see how and where they fit in to your sales strategy:

1. **Distributor Pricing** would be the lowest you are prepared to go, and reserved for your very largest customers, those who order in volume and sell on to other shops and retailers in their markets. In order to qualify for this very low pricing, distributors should:
 - Be obliged to order in bulk (e.g. 200 of an item, minimum order value of R50,000)
 - Sell on to other retailers, and be able to provide proof of their retail network
 - Have set performance targets per quarter/year to maintain that pricing
 - Have a contractual agreement with you highlighting all roles & responsibilities on both sides

2. **Wholesale Pricing** is the price charged by a manufacturer/distributor when selling products to a retailer, or by a service-based business when selling bulk services to a middleman – such as bed nights at a guesthouse to a travel agency, construction services to an architect or training for delegates to a conference organiser.

As with Distributor pricing, Wholesale pricing can have some conditions attached from your side as the supplier, e.g:

- Only customers buying for the purpose of resale can get wholesale prices
- Wholesale customers are obliged to stick to set sales terms & conditions and minimum quantities per product to qualify for wholesale pricing
- You may ask a potential customer to provide proof of their credentials (e.g. where is the shop, other suppliers they deal with, references etc)

3. **Retail Pricing** is when you sell directly to the end user. It should be pitched high (on a par with what other shops sell your products for). This is important because if the retail outlets you supply at a Wholesale price (and who have to buy in quantity to get that price) find out you are selling to the general public at the same price, they will no longer support you.

Retail pricing is what you would charge when engaging in any form of direct selling, whether at a market, trade show, via a website/e-commerce or shop/workspace. It would also apply when selling a service directly to **the end user, such as a game drive to a tourist who books directly** or a training course directly to a delegate.

4. **Corporate/Custom Pricing** would involve prices quoted when the intention of the buyer is to use the items for promotional purposes i.e. not to mark up and resell, or when you are designing or creating a special, customized product or service for a certain client, such as a branded item with their company logo on it or a bespoke team-building session that matches the company culture & focus.

This Corporate price will usually be pitched somewhere between your wholesale and retail price, both to cover the development costs associated with customized work, and also because in most instances the buyer does not need to make a profit from these products or services and has a different agenda. In a service context, this pricing would apply when you customize a service especially for a client i.e. it is outside of your standard offerings.

Note that if you are creating a once-off, bespoke offering, whether product or service, you may actually need to charge even more than you would for retail to cover your development time – depends on context.

5. **Agent Pricing** would be pricing you would give to a prospective agent, someone who will represent you in a certain market or geographical area and sell on a commission basis. As a benchmark, your wholesale price plus 15% commission would be an appropriate Agent price – the agent would then quote this price to the customer, who would pay you directly and you would then pay over the 15% commission to the agent at an agreed date.

If you follow the guidelines above, do your research and talk to your customers, you will be empowered and feel confident that the price you quote, is the correct one.

LET'S LOOK AT AN EXAMPLE:

Let's pretend we have a product that costs us R100 to make including all input costs (labour, raw materials and overhead contribution). In this case, acceptable pricing levels would be as follows:

PRICING LEVEL	CALCULATION	REQUIREMENTS
Distributor price	$R100 + 40\% = R140$	Must order a minimum of 250 units
Wholesale price	$R100 + 50\% = R150$	Must order a minimum of 25 units
Corporate/Custom price	$R100 + 100\% = R200$	A minimum value of order is a good idea e.g. R1500
Retail price	$R100 + 150\% = R250$	No minimum order required
Agent price	$R150 + 15\% = R172.50$	Remember, you add the Agent's commission to your wholesale price, not your costs!

NOTE: These percentage mark-ups are just **approximate** and intended for the purpose of demonstrating how the different pricing levels relate to one another.

You need to determine for yourself the appropriate mark-ups for your product, given the results of your research, your own experience in terms of what the market will pay and what your competitors charge for similar products.

Task: Work out the different pricing levels for a product that costs R350 to make including all costs:

PRICING LEVEL	CALCULATION
Distributor Price (40% mark-up)	
Wholesale Price (50% markup)	
Corporate/Custom Price (100%)	
Agent Price (Wholesale + 15%)	

4. LESSON FOUR:

4.1 DEALING WITH EXPORT CUSTOMERS

The export market can seem daunting to new entrants, but remember it is a market like any other, and your main priority is to ensure that you service your customers professionally and get the price you need to sustain your business.

It may be tempting to try and charge a higher price for export than for local customers; however, you must remember that the costs of getting your products into an international market are much higher than they would be domestically – these include things like freight, insurance, import duties and handling fees. Often you may need to charge even less than for local sales! Also, you are suddenly competing against the rest of the world – if you are not competitive price-wise, or so original and unique as to stand out, you are in for a tough time.

For this reason, our advice is to have a consistent level of pricing for local or export (whether it is wholesale, distributor or retail) and be sure to add on separately any additional export-related charges such as document preparation, export certificates, freight etc.

You might also consider higher minimum quantities per style and a higher minimum order value for export. This ensures that it is worth your while to process an export order, which can involve a fair bit of paperwork, risk and time.

4.2 QUOTING IN FOREIGN CURRENCIES

When doing an international trade show, or even sometimes when negotiating with a foreign buyer who is interested in your products/services, you may be expected to prepare a pricelist or quote in dollars, Euros or pounds.

This is an area that can cause a lot of uncertainty and stress given the volatility of the Rand and the potential to make some very expensive mistakes. Remember, you are not in the business of currency speculation or gambling. If a certain customer insists on you quoting in dollars or Euros, make sure you build in more than enough FAT to cover any fluctuations.

The same applies if you are developing pricelists for an international trade show. Always cover yourself, and always state the conversion rate used to arrive at an international currency figure.

4.3 PROTECTING YOURSELF FROM FLUCTUATIONS

The most effective means of avoiding the dangers of forex fluctuation is to simply insist on always quoting in Rands, however this is not always possible and sometimes you will have to quote in a foreign currency.

An effective way of managing risk is to build in some 'fat' so that should exchange rates go up or down, you remain relatively well protected. As an example:

Current Spot Exchange Rate R/US\$ = R19

Therefore, if you charge R100 in Rands for a product wholesale, you would ask \$5.26

($R100 \div 19$) in order to get your R100 for the item.

However, this conversion leaves you no room at all for fluctuation – if the Rand suddenly strengthened to R17.00 to the dollar (unlikely yes), look at what would happen:

$\$5.26 \times R17.00 = R89.42$ – meaning you get R10.58 less per product than you wanted.

Now imagine that this happened on an order of 1000 items:

$R10.58 \times 1000 =$ a loss of R10580.00!!!

If you had used a more favourable rate for yourself up front, and thus asked for slightly more dollars wholesale per piece, you could have avoided this situation:

E.g. $R100 \div R17.50 = \$5.71$ (and maybe round off if needed)

Remember to always state the rate of exchange used (some people even have a separate column in their pricelists to indicate this), and also to be careful of pricing yourself out of the market by being too conservative and building in too much fat.

Also, remember to always include in your sales terms & conditions that any prices quoted in forex are only guaranteed for a limited period (usually 3 months), and that your company reserves the right to amend the pricing based on excessive forex fluctuations. You can also consider Forward Cover as an additional measure.

4.4 DIFFERENT PRICES FOR DIFFERENT MARKETS

Some people believe that they should have different prices for different markets, such as local pricing vs. export pricing. They may even take it a step further and have different prices for different regions e.g. EU prices, Scandinavian prices etc.

Our opinion is that this is a dangerous and frequently counter-productive strategy. Unless you are a truly global business with the capacity and expertise to handle multiple different pricing strategies and account for geographical and regional quirks and preferences, you may well end up getting into hot water by trying to carve up your pricing strategy into little bits.

Not only that, but it can also get confusing & administratively burdensome. Your priority as an entrepreneur is to ensure that:

1. You get the price you need for the item and
2. Your product arrives in the chosen market at a price that is competitive, fair to all parties and as consistent as possible, so that it can sell.

5. LESSON FIVE:

5.1 DISCOUNTS

An Achilles heel of the SME and SMME sector – too often we create a climate where customers EXPECT a discount, because we are so quick to offer one.

The crux – discounting must be strategic and must also be a win-win arrangement – I give, you give.

The Effects of Discounting

The effects of discounting can be quite dramatic, and very unexpected. For instance if you were selling a product with a gross profit of 30% and, in order to increase customer sales or beat the competition, you decided to offer a discount of 10%, how many extra customers (as a percentage) do you think you would need to make the same profit overall?

The answer is at least 50% more customers!!

Did you guess correctly - a bit of bad luck if you didn't? Unfortunately, you can't afford bad luck in business. In fact, you may be better off putting the price up slightly, losing some of your core customers and making the same profit (after all, that's what you're in business to do, isn't it?)

Many new businesses assume that if they sell at less than the competition, they will take their customers away. This is rarely true and increasing your price, or charging the same but offering a bit more, is often a more sustainable way of competing profitably.

Consider the following when considering a discounting strategy:

- Discounting should always be seen as a two-way street & negotiating tool
- Can the competition discount for longer than you?
- Will your core customers increase dramatically if you discount? You may be well advised to charge the same and rather offer a higher level of service
- If you increased your price by just 5% you could afford to lose 15% of your customers and still make the same profit!

When is it Appropriate to offer a Discount?

Of course, there are certain scenarios and strategies where offering a discount is a reasonable and acceptable business decision. These include:

- Quantity Discounting, where the order will be significantly increased as a result of the discount being offered. However, do not offer a quantity discount off the bat, use it as a negotiating tool. Similarly, if it costs you exactly the same to produce one or one hundred of an item, you need to think before offering a quantity discount as it is your direct profit being discounted.
- Where a retailer is working according to set price points. Woolworths, Mr Price etc. will TELL YOU what they want to pay for an item and you need to comply. In this instance, you are well within your rights to look at simplifying or redesigning the product or service so that it is a win-win situation for all parties – we call this product engineering.

- In instances where the customer has been inconvenienced or otherwise prejudiced as a direct result of negligence, under-delivery, bad packing or short delivery on one of your orders/services and wants a discount and not a refund or credit note.
- In a situation where you are trying to penetrate or break into a particular market and price is the only barrier preventing you from doing so.

5.2 SOME MORE THOUGHTS ON PRICING

What if your price is not competitive?

If you have done your market and competitor research and find that your prices are unrealistic, the following should be considered:

- Can you work more effectively and efficiently, by developing/improving your admin or production systems, or by simplifying your processes?
- Can you decrease your overheads or running costs?
- Are there other potential income streams that could contribute towards your overheads or running costs?
- Can you focus on a niche market that would be willing to pay more?
- Can you add value without adding cost, as in offering a faster turnaround time? For such an offering to have a positive impact, it is important that the customer knows about it and values it.
- Can you **re-engineer** your product or service and make it more competitive?

Can you think of any other strategies that you can try to make your prices work when they are too high based on your costing & required profit levels?

Factors that can affect your pricing strategy and the price you are able to charge for your product or service:

Apart from the materials used or the labour hours that go into the delivery of a product or service, there are several factors that can also impact your pricing strategy:

Company Profile

The higher your company profile, experience and brand recognition, the more you can charge.

Objectives

Are your objectives to penetrate a market, beat the competition, establish yourself as a luxury brand? These will affect your pricing significantly.

Client dynamics

If you really want to work with a certain client (such as a big corporate or well-known brand) you might go lower in price; conversely, if you are expecting a difficult project or a slower payer, then you might want to increase your price.

Expect negotiation

People often add 10% to their initial quoted price so that they can give a discount or negotiate down, as some clients might expect this. The jury is out on this, it depends on the client.

Product/service Engineering

Sometimes, your client gives a price that they are willing to pay and you let them know what you can do for that fee. This may entail simplifying your product or service to come into price.

Job satisfaction

Sometimes we take on work that is not the most profitable, but provides excellent experience and exposure to new thinking. Other times, we take on profitable work that is mind-numbingly boring, soul-destroying or even dangerous. Always weigh up the pros and cons.

Pricing Services

In some organizations (such as a repair shop or a hairdresser), a consistent hourly rate will be charged regardless of which employee actually works on the job; in other organizations, the rate may vary by employee. For example, in an accounting firm, the rate charged for a junior accountant's time will generally be less than the rate charged for an experienced senior accountant, or for a partner.

There are a number of different ways of setting prices in a service environment, and it may be useful to quickly look at some of them here:

Per hour – you determine an hourly rate and charge according to number of hours a given service takes to deliver. You can set different hourly rates for different tasks, different rates based on who does the work, as well as the complexity of the work.

Per job – you set a fixed price for a certain job, e.g. R500 per game drive, R150 per airport transfer, R2500 per workshop.

Retainer – client pays you a fixed monthly retainer to deliver services. This is common in the IT industry, legal and HR fields, as well as on some maintenance-related projects.

Tips on Pricing Services

1. Test Your Prices with Existing Audiences

“Anytime we roll out a new product or service, we always test the price with a few — we usually limit the number of lists to three — different existing segmented email lists that signed for that specific topic or a related offer to determine the best pricing model.” ~ Kristin Kimberly Marquet, Creative Development Agency, LLC

2. Let the Market Price Your Product

“Pricing can be such a sore spot for many entrepreneurs, but it shouldn’t be. Few realize that the value is in the eye of the buyer, which means you’ll always make the most money leaving the price up to the customer. Go have conversations — test prices, ask whether buyers would buy within a range of prices, and explore why they would or wouldn’t. These easy conversations will make you money.” ~ Peter Kozodoy, GEM Advertising

3. Start High

“It’s easier to come down in price than to go up. So your first step should be to generate a solid ballpark price. You can look at similar products or services to do that, then do some testing or polling. Then I would recommend to start on the high end of that ballpark or even a bit above it. If you need to have a sale later on, customers will appreciate that.” ~ Nicolas Gremion, Free-eBooks.net

4. Do Competitive Research

“For us, it all boils down to research. Learn what the market is paying for your new service and learn what your competitors are charging for that service. Once you have that data, you can uniquely position yourself based on your price point, quality and offering.” ~ Joel Mathew, Fortress Consulting

5. Figure Out Your Market Positioning

“The most important thing when you price for a service, tool or product is how you want to position yourself in the market. Once you determine that, consider the price your competitors are charging for it and the number of expected achievable customers. Then, ask if are you adding a value compared to competitors and if you can diversify pricing by creating packages.” ~ Michael Hsu, DeepSky

6. Start At Twice Your Costs

“Start with a basic model work backward. First, figure out your costs, then aim at a price point of 2C, or twice your costs. Later, review the marketplace to see what competitive offers and then adjust accordingly. Hopefully, your operation is tight enough that you will be able to compete on value.” ~ Nicole Munoz, Nicole Munoz Consulting, Inc.

7. Conduct A/B Tests

“For us, we’ve found that continuous A/B testing is the best way to continue increasing conversions on our pricing page. Experiment with a 14-day free trial, different packages, and monthly pricing versus yearly pricing. For example, if churn is an issue for your business, a yearly price could help reduce your attrition rate, but you’ll only find out through testing.” ~ Syed Balkhi, WPBeginner

Financial proposal/quote for design and/or consultation-based services

For each new service-based project a financial proposal or quote should be produced and include:

- A brief and terms and conditions with your proposal
- The financial terms & conditions – payment schedules, sundries & expenses etc
- A request to the client to sign off each stage and for you to invoice them separately for each stage
- An explanation of each stage of the project
- What the client will receive at the end of each stage and the final outcomes
- How long each stage will take
- How much each stage will cost
- How any unforeseen circumstances – such as extras – will be charged for
- Include how long this quote is valid for
- Ultimately, good communication between you and the client will avoid problems and late or non-payments.

6. LESSON SIX:

6.1 TERMS AND CONDITIONS OF SALES

Your terms & conditions of sale set out the parameters and requirements under which your business will engage in transactions with potential or existing customers.

They should be seen as a binding and legal agreement between yourself and the customer in terms of your engagement and interaction. Thus, they need to be communicated and agreed to clearly and up front before any work commences. They should include:

- The **prices** of the goods or the services that have been purchased.
- The **mode of payment** for the goods or services purchased.
- Details and **feature specifications** of the goods or services.
- The details about the **delivery date** for the goods or services.
- The **responsibilities of the customer** according to the terms and conditions as decided upon by the seller and the customer.
- The **responsibilities of the supplier** as decided upon by the seller and the customer.
- The **limit on the liabilities** of the supplier, in case of any problem.
- The details regarding the schedule of the proposal.
- In case the deal is between a business and a client (B2C), then details about the clause regarding **cancellation of the purchase order** and refund of money needs to be included.
- In case of a deal between two business parties (B2B), there will be clauses regarding **alterations, warranty, compensation, intellectual property rights, and termination** of the deal.

Sample Terms & Conditions – Product focused

Dear Valued Customer,

Thank you for your interest in our products. In order to allow us to give you our best service and minimise any confusion, please read our Conditions of Sale before we commence with the order.

ORDERS:

- All prices quoted in ZAR and ex-works unless otherwise stated.
- Please follow our minimum sales units per style and colour when placing wholesale orders
- Lead time for orders 3 – 4 weeks unless otherwise arranged – why is this important?
- Please order in writing and specify any special instructions

FREIGHT AND SHIPPING:

- We are happy to work with your preferred service providers, or we can arrange shipping for you ourselves
- We prefer not to send goods through the postal service – should you wish to receive orders through these channels, we will require that you sign a waiver form absolving us of any responsibility for loss or damage.
- We will quote on sending orders via airfreight for export and via road domestically, unless otherwise specified

PAYMENT TERMS AND INSTRUCTIONS:

- On placement of an order, an invoice will be supplied with all our details
- Our terms are 50% deposit on placement of order, and balance on shipping. If you can get this – for some clients not an option, so you need to be prepared & do your sums.
- We will require balance of payment on presentation (via fax or email) of the freight documents or Bill of Lading for export, or on delivery as applicable.
- All goods remain property of our company until fully paid for
- Please quote your invoice number as a reference when making payments
- We will be unable to commence with an order until the 50% deposit has been received

OTHER:

- Please note that these products are all handmade, and as such some minor variance is possible
- Prices include all labour, materials and basic packaging, but exclude any special packaging requirements, delivery or freight costs as may arise
- Sampling costs and design work for custom products will be charged for at an agreed rate.

Sample Terms & Conditions – Recurring Service

This Agreement represents a Service Level Agreement (“SLA” or “Agreement”) between [your company name], further to be called Service Provider and the Service User for the provisioning of services required to support and sustain the [insert your product or service plus description]. This Agreement applies once the [Product of Service] is ordered by the Product User.

1. Objective of the Agreement

The purpose of this Service Level Agreement is to describe the key services the Service Provider provides and the quality standards it has agreed in terms of service delivery.

This Agreement sets out:

- the services the Service Provider provides to customers;
- the overall standard which the Service Provider aims to achieve in the provision of our services; and
- a mechanism for resolving any problems relating to the delivery of the service.

2. Future reviews and amendments to this Agreement

This agreement will be reviewed [annually/quarter-annually/semi-annually] as part of the [annually/quarter-annually/semi-annually] planning process and any changes will be agreed with Service Users.

3. Service Agreement

The following detailed service parameters are the responsibility of the Service Provider on the ongoing support of this Agreement.

3.1 Service Scope

The following Services are covered by this Agreement;

a)

3.2 Service User Requirements

Service User its responsibilities and/or requirements in support of this Agreement include:

a)

3.3 Service Provider Requirements

The Service Provider its responsibilities and/or requirements in support of this Agreement include:

a)

3.4 Service Assumptions

Assumptions related to in-scope services and/or components include:

a)

4. Service Users (if applicable)

(Insert the names of the other parties to this agreement)

5. Responsibilities – who we are, what we do

(Insert a brief outline of roles/responsibilities within the team and relevant contact information)

6. Service Availability

(Insert how and when can people access your service?)

7. Description of key services

(Insert key service/quality standards with lead times for delivery - this should be linked to key performance indicators. These should be the most important results, not detailed processes. Specify which services are generic and applicable to all users of the service and which services are specific to a user of the service or a group of users.)

8. What the Service Provider needs from Service Users

(Describe what information you need, by when, from your Service Users to enable you to deliver an effective service)

9. Service Levels/Standards

(Describe how you will measure, monitor and evaluate service performance – quantitatively and qualitatively)

10. Monitoring success

(Report on performance – what will be your key performance indicators/outcomes or impacts)

11. Complaints

(Describe how complaints or conflicts will be dealt with and resolved)

7. LESSON SEVEN:

7.1 CREATING EFFECTIVE PRICELISTS & SALES PROPOSALS

Remember we said at the outset that successful selling is about making it as easy as possible to do business with you.

This starts with having a clear, concise and attractive pricelist or proposal that not only gives your potential customer all the information they need to make a decision as to whether to buy or not, but also encourages them to do so.

What makes an effective Price List, Proposal or Catalog?

1. It's clear, comprehensive and easy to use

Your price list, fee structure or catalog may very well be the most widely used document you produce. It's a constant source of reference for your customers. A well-designed, easy-to-use document makes it easier for them to do business with you. It also illustrates your professionalism.

2. It complements your other marketing efforts

A good price list or catalog is a single source for all your product/service information. It should complement your other marketing efforts, such as websites, brochures etc.

3. It makes the buying decision easy

It contains all the information buyers need and it makes it easy for them to find that information. Good layout, effective descriptions, codes, quick references, relevant images and graphics and sales terms & conditions help to avoid user frustration.

4. It's cost-effective

Good design also contributes to lower production costs by making efficient use of space and keeping page counts to a minimum. Save those trees!

5. It's available in a variety of media

While there will always be a need for some hard copy price lists, the era of digital pricing and product information has arrived. You need to be able to distribute this data on CDs, DVDs, by e-mail broadcast, or over the Web.

Basic Structure

The style of pricelists may differ markedly, but certain key elements are common in most of them:

Intro – some background information on your company, philosophy, products, awards & accolades, services and offerings etc. Keep it concise (maximum one page). It is often a good idea to include an image or two.

Main Body – your product and pricing information including code, price, minimum quantities, colours and a reference picture if possible for products, and full breakdowns of your training, workshops and other offerings if you sell services.

Sales Terms & Conditions – all your terms and conditions of sale including payment terms, freight & delivery etc.

Pricelist 2019 – JAM Trading



Jonasandries Matse Trading (JAM Trading) is a water-purification and bottling company that specialises in a range of quality still and sparkling purified mineral water. We also offer a bespoke service whereby we can brand the bottles with specially printed, personalised labels, including your company logo, event details or any other branding you may require.

Product	Code	Quantity	Pack size	Price	Reference
Bottled water	BW001	340ml	24 units	R72.00	
Bottled water	BW002	500ml	24 units	R84.00	
Bottled water	BW003	1,5L	6 units	R39.00	
Bottled water	BW004	5L	1 units	R12.00	

SALES TERMS AND CONDITIONS

Dear customers,

Thank you for your interest in our products, your support is highly appreciated! Please read through the terms and conditions of sale to ensure a good working relationship.

Orders and pricing

- All prices are quoted in South African Rands.
- All prices include labour, material and packaging.
- Please order in writing and specify any special instructions.
- Lead time for orders is 1 -3 days, depending on the size of the order.
- We require a minimum order of R1000 for delivery.

Payment terms and instructions

- An invoice will be sent on placement of order.
- 50% deposit is required on placement of order and the balance is to be paid on delivery.
- No orders can be processed until the deposit is received.
- Please quote your invoice number when making payments.
- Customers are responsible for all charges relating to personalised labels – a separate quotation will be provided for this service.

We look forward to seeing you walk through our doors and into the world of clean refreshing water!

7.2 BUILDING YOUR OWN PRICELIST IN WORD

MS Word is a user-friendly and comprehensive programme that allows you to build a pricelist that includes all the information a customer needs in order to make a buying decision, including codes, descriptions, product dimensions, minimum quantities, price and a reference picture.

To build a pricelist in Word, follow these simple steps:

1. Open a blank Word document
2. Starting at the top, insert your letterhead if you have one – Do this by going to the Insert menu, and clicking on Header & Footer, then select Header and insert your letterhead or company logo
3. Next click Footer, and fill in your contact details
4. You can choose to insert an image of your company, company premises or employees next by following the same procedure but selecting Insert Picture instead

5. Once this is completed, write a short profile of your company including your operating philosophy, USP's (Unique Selling Points) etc.
6. Once done, go onto the next page
7. Next, go to the Insert menu on your word toolbar, click Table and insert a table with 5 columns (6 if you want to include colour options)
8. Fill in the relevant headings at the top of the pricelist, and as many lines as you require to showcase your range/s – these headings are Product Code/Name & Description/Minimum Order Quantity/Price/Reference Picture
9. Fill in all the relevant details for the different products
10. Once done, go to the last column (reference Picture) and click Insert/Picture. Find the correct picture and click Insert
11. Do this for all the images required. You may need to click and drag on some of their borders to make them fit the space properly.
12. Once this is completed, go to a new page and write your sales terms & conditions. You can also insert another image or images here if you wish.
13. Finally, double click on one of the images in the document and select Compress. When the programme asks if you want to do this for all images in the document, click yes.

8. CONCLUSION

In this workshop we have looked at:

- The Right Tools for the Job
- Pricing Methodologies
- Pricing Levels Explained
- Basic Structure of a Pricelist
- Quoting in Foreign Currencies
- Other Pricing Structures (export, retail, corporate)
- Discounts
- Sales Terms & Conditions
- What Makes a Pricelist Effective?
- Building a Pricelist in Word

We have also included a special handout on pricing for the agricultural sector, for you to review at home.

Remember, the key is to make it easy and pleasant to do business with you, and your pricing strategy and tools are a critical part of this process. Often, price is the first contact a prospective buyer will have with your company so you have to make sure you get it right!

Good luck to you all!

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